

Multiple Choice

1. **Answer:** A

Options: A) 1800.0000; B) 2500.0000; C) 2200.5678; D) 2300.4567; E) 2600.8910

Note: The present value of the three end-of-year payments of 1000 each, starting from the end of the fifth

1. **Answer:** E

Options: A) \$212.36; B) \$220.50; C) \$210.00; D) \$222.22; E) \$216.49

Note: The correct answer of 216.49 is derived from applying the formula for compound interest, which at an interest rate of 4% compounded semiannually over 2 years, resulting in a future value calculation of $\$200 * (1 + 0.04/2)^{(2*2)}$.

2. **Answer:** A

Options: A) \$325.50; B) \$650; C) \$585; D) \$405; E) \$975

Note: The correct answer is 325.50 because George earns a commission of 22.50 per vacuum cleaner (30% of 75), and with 13 sales, his total earnings amount to 22.50 multiplied by 13, which equals 292.50, plus the base salary of 33, resulting in \$325.50.

3. **Answer:** A

Options: A) Individual skills; B) Cultural influences; C) Economic conditions; D) Political situation; E) Personality traits

Note: The situational theory of leadership emphasizes the importance of adapting one's leadership style based on the individual skills and readiness of team members to effectively guide and support them in various contexts.

4. **Answer:** A

Options: A) Operant conditioning.; B) Social learning.; C) Insight learning.; D) Observational learning.; E) Cognitive learning.

Note: Providing free samples of perfumes in magazines exemplifies operant conditioning because it uses positive reinforcement by rewarding potential customers with a free product to encourage future purchases.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: The statement is false because investing 1,000 to receive 150 annually for 10 years results in a return of 15% per year, not 10%, as the total cash inflow over the period exceeds the initial investment when calculated using the present value of annuities.

7. **Answer:** False

Options: A) True; B) False

Note: The statement is false because the book value per share is calculated by dividing total equity by the number of outstanding shares, and without knowing the total equity or the number of shares, we cannot determine the book value per share accurately.

8. **Answer:** False

Options: A) True; B) False

Note: The statement is false because egoism and utilitarianism are both consequentialist theories that evaluate the morality of actions based on their outcomes rather than adhering to fixed moral duties.

9. **Answer:** True

Options: A) True; B) False

Note: The statement is true because the terms (6/10), (n/30) indicate a 6% discount available if paid within 10 days, and when calculated for the entire year, this translates to an effective annual percentage rate of approximately 24.49%.

10. **Answer:** True

Options: A) True; B) False

Note: The statement is true because it accurately reflects that the total payment made by Mr. Scaccioborrows encompasses both the principal amount borrowed and the interest accrued over the repayment period, which is a standard practice in loan agreements.

Long Form Response

11. **Answer:** The theoretical forward price of gold can be calculated by considering the current price, storage costs, and the opportunity cost represented by the interest rate.

Given a current price of 412 per ounce, an interest rate of 9%

Note: correct because it effectively applies the formula for calculating the theoretical forward price of gold

11. **Answer:** Sequential discounts can significantly impact the final pricing of a product, as they are applied successively rather than cumulatively. For a Speedway Racing Set priced at 84, the first discount of 20%

Note: correct because it illustrates how sequential discounts reduce the price stepwise, showing that each discount is applied to the reduced price from the previous step.